

PRA Glossary - H

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Head of Internal Audit function

has the meaning given in Senior Management Functions 3.5.

Head of Third Country Branch function

has the meaning given in 6.2.

health catastrophe risk

means the risk of loss, or of adverse change, in the value of insurance obligations resulting from the significant uncertainty of pricing and provisioning assumptions related to outbreaks of major epidemics, as well as the unusual accumulation of risks under such extreme circumstances.

health insurance obligation

means an insurance obligation that covers one or both of the following: (1) the provision of medical treatment or care including preventive or curative medical treatment or care due to illness, accident, disability or infirmity, or financial compensation for such treatment or care; or (2) financial compensation arising from illness, accident, disability or infirmity.

health reinsurance obligation

means a reinsurance obligation which arises from accepted reinsurance covering health insurance obligations.

health revision risk

means the risk of loss, or of adverse change, in the value of insurance obligations, resulting from changes in the level, trend or volatility of the revision rates applied to annuities, due to changes in inflation, the legal environment or in the state of health of the person insured.

Holloway sickness policy

means a contract of long-term insurance offered or effected by a friendly society under the Holloway system, providing permanent health benefits and, in addition, investment benefits, where the investment benefits: (1) are derived from surpluses accrued by the friendly society and apportioned to policyholders; and (2) are payable to policyholders at maturity, on retirement, on death, or as otherwise specified by contractual provisions or individual society rules.